

Note – If the price looks lucrative because they offer a higher risk-to-reward ratio while trading a pullback, you should at least aim for a candlestick pattern like doji or a Pin Bar to ensure that the pattern is genuine and is not a fake breakout. If you are a beginner and do not have much experience trading on naked charts, it is recommended to use some technical indicators to further confirm the authenticity of the pattern.

CONCLUSION

The Pullback price action strategy offers traders a pure price action-based approach to capturing effective and profitable trading setups. Implementation of the Pullback trading strategy requires finding suitable setups by identifying price ranges or resistance levels. It is important to note that this strategy only relies on naked price chart and technical indicators do not have a role in it. *However, as a beginner, you can use a few technical tools like Volume, RSI, etc. for further setup confirmation.*

TIP: We will not take the trade at the breakout because as we saw earlier, it can be a fake breakout. So instead, we will wait for the candle to pullback to the same level and then take the trade once the high of the pullback candle is broken. This gives us more confidence in the trade and consequently higher chances of success.

